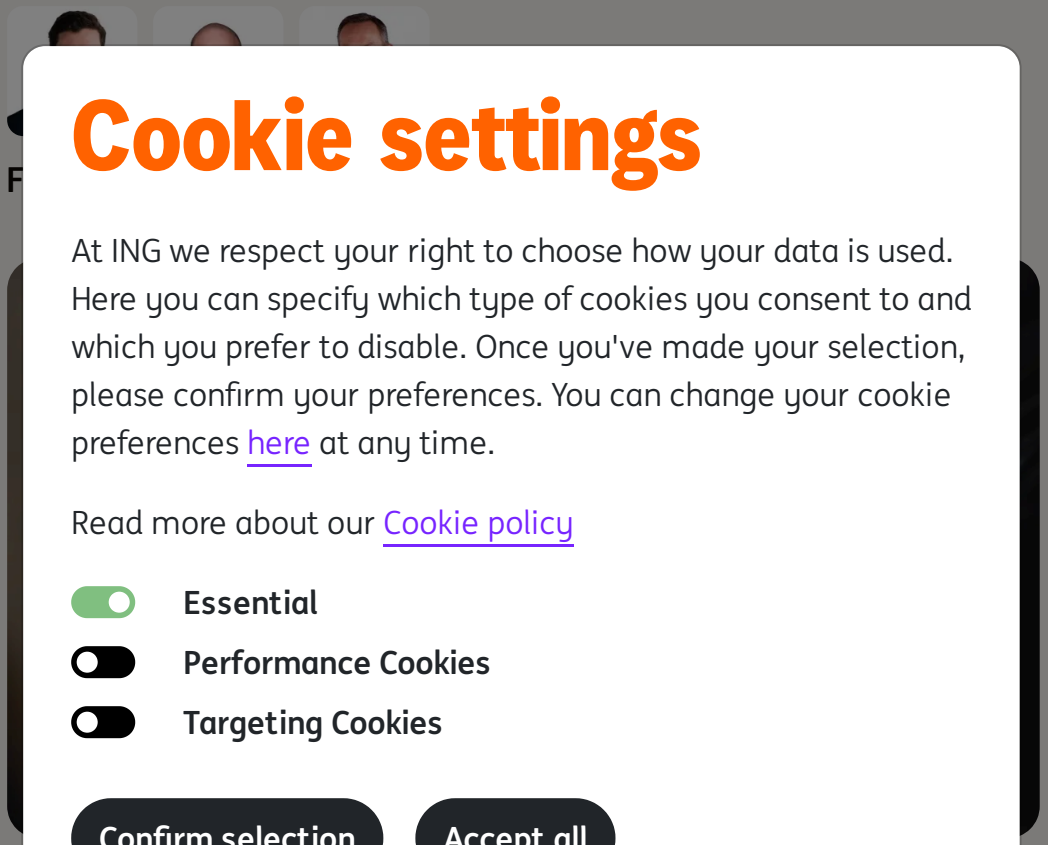
Contagion from AI to defensive stocks in the US and worldwide allowed the dollar to rally even before the strong US jobs market report. But unless risk sentiment remains poor this week, lower front-end US rates should favour a weaker dollar, even if inflation tomorrow comes in slightly hotter than expected



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USD: At risk of correction

The dollar has emerged stronger after markets digested last Thursday's big tech-led equity selloff. The greenback was already gaining ground across the board even before US payrolls (165k) smashed expectations on Friday afternoon. The dollar's appreciation was probably driven, albeit with some delay, by the extent of the contagion into defensive stocks and global markets.

Still, the pass-through from the equity shake-off to FX volatility has been rather contained, and broadly concentrated in higher-beta

G10 currencies. The Australian dollar, Swedish krona and Norwegian krone have dropped around as much as the heavily AI-exposed Korean won since last Wednesday's close.

Scrutiny of the AI trade will inevitably remain very elevated this week. Markets are still assessing the actual implications of the Democratic sweep of Congress for regulatory risks around the AI-capex cycle, and whether this is effectively the start of a bigger downturn for tech stocks.

We think the dollar rally requires the risk-off mood to persist this week. Otherwise, there is some moderate correction risk, as Friday's

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has six weeks to form a coalition, and failure to do so is likely to result in Netanyahu receiving the mandate again.

Francesco Pesole

EUR: Cheap, focus on ECB succession

The drop in EUR/USD looks too sharp relative to its short-term rate differential. We estimate short-term undervaluation at around 2.1-2.3%, exceeding what has been justified by the French risk premium. That's mostly because front-end rate differentials have actually tightened on the back of the stock market turmoil,

compensating for worsening risk sentiment. Unless risk sentiment faces new instability this week, we expect EUR/USD to make its way back above 1.120.

The eurozone data calendar is quite quiet this week, but focus on the European Central Bank's succession story will increase. Today's Eurogroup meeting will discuss the candidacies of Spain's Pablo Hernández de Cos and the Netherlands' Klaas Knot, the only two officially running for the role – although last-minute contenders might still emerge. Knot is a hawk and de Cos is a dove, so there should be some reaction accordingly in the euro depending on who ends up taking the role.

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(EUR/GBP has been one of the favourite channels), but even accounting for that, the decline in the pair looks a bit too stretched.

Today, we'll hear from Bank of England Governor Andrew Bailey following last week's hawkish hike. The lack of dovish dissenters in November reinforced our view that the BoE will hike again in February, with some risk already in December. However, as we note here, consensus around another rate increase will likely be harder to achieve next time, as some members are considering a one-and-done approach as a possibility.

Most importantly, Bailey himself has signalled caution in hiking more than once again. Market pricing for three more cuts remains far too aggressive in our view, and argues – alongside short-term valuation signals – against further sterling strength against the euro. A return to 0.840 in EUR/GBP remains the most realistic move in the coming weeks, in our view.

Francesco Pesole

CEE: Rate hike outpricing leaves region exposed to risk-off mood

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unchanged at 6.50%. In Turkey, the Central Bank of Turkey will publish an inflation report following the rate cut implemented two weeks ago.

On Friday, Romania and Poland will release flash Q3 GDP data. We anticipate an acceleration in economic growth for the former and a slowdown for the latter. The CNB will release the minutes from last week's meeting, when it hiked rates for the second time since the onset of the US-Iran conflict, while Turkey will release its inflation expectations for November.

Regional markets have seen a sharp downward shift in rates, driven by the global sell-off and several surprises from central banks. Following the CNB's rate hike and the subsequent market rally, market pricing now implies roughly one and a half rate hikes for the Czech Republic. In Poland, the market has priced in just under three rate hikes; in Hungary, it anticipates approximately one rate cut. In our models, narrower rate differentials and a stronger US dollar point to weaker CEE currencies once again, leaving us generally bearish.

In the short term, however, the recent decline in energy prices and discussions regarding a diplomatic solution to the US-Iran conflict

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